FISCAL YEAR 2007
DATE PREPARED: 7/16/2008
OWNER: Scott MacDonald

Product Competitive Analysis

Premium	CONTOSO	FABRIKAM	NORTHWIND TRADERS	COMPETITOR COMPANY 3
Company Profile				
Annual revenue--total ($)	$55,000,000	$26,000,000	$9,000,000	
Gross margin--total ($)	$16,000,000	$11,000,000	$3,500,000	
Three-year sales growth (%)	16%	8%	35%	
Mission	To be the lowest cost widget maker in the USA	To be the highest quality widget manufacturer in the USA	Unknown	
Acquisitions, mergers [Fiscal year 2007]	None	None	None	
Alliances	None	Litware, Inc	None	
Public or private company	Public	Private	Private	
Overall Company Assessment				
Differentiation and strengths	Size, price	Quality	Customizations	
Major weaknesses	Quality	Price	Price	
Likely near-term strategic actions	Increase distribution	Increase R&D	Acquisitions	
Opportunities	Grow into West coast	Capture large new accounts	Expand sales force	
Biggest threat	Northwinds takes over West coast distributors	Companies becoming price sensitive	Can't get the distribution network	
Other				

PRODUCT DETAILS	Premium	DELUXE	BESPOKE	COMPETITOR PRODUCT 3
Product Pricing				
Price per product ($)	$5	$8	$7	
Gross margin per product ($)	$2	$4.5	$4	
Product Features and Benefits				
Key feature 1	Simple installation	Durable	Customizable	
Corresponding benefit	Reduced down-time	Minimizes repairs	Meets unique	
Key feature 2				
Corresponding benefit				
Key feature 3				
Corresponding benefit				
Product Strategy				
Differentiation	Price	Quality	Customization	
Positioning statement	Get more for less	Why	We make to order	
Expected next moves	Introduce new Premium Plus widget	Introduce new lower-priced widget	Make a lower cost, more standardized widget	
Packaging	N/A	N/A	N/A	
Target market	Mid-market	Large	Small customers	
Relationship to other products within CONTOSO	Higher-end version of standard widget, with longer life	N/A	N/A	
Financial Analysis				
Fiscal year defined as: [Jan 2008] to [Dec 2008]				
Annual product revenue ($)	$12,000,000	$7,000,000	$9,000,000	
Annual product revenue--goal ($)				
Product 3-year sales growth (%)	15%	8%	22%	
3-year market growth ($)	$5,400,000	$1,680,000	$5,940,000	
Market share	45%	28%	15%	5%

Average sale per direct customer ($)	$12,000	$25,000	$18,000	
Average sale per indirect customer ($)	$3,600	$5,000	$4,200	
Direct annual revenue ($)	$3,000,000	$6,000,000	$8,500,000	
Indirect annual revenue ($)	$9,000,000	$1,000,000	$500,000	
Direct gross margin (%)	40.1%	48.3%	53.1%	
Indirect gross margin (%)	25.2%	30.0%	32.0%	
Other				
Other				
Sales and Distribution				
Distribution channels	Mainly channel	Mainly direct	Mainly direct	
Geographic coverage	All USA	All USA	West coast	
Sales strategy	Sell on price --discount to get the deal	Sell on quantity--seldom discount	Sell on customizations -- never discount	
Customer service	Limited	Extensive	Extensive and personal	
Communications Strategy				
Promotion and advertising	National trade journals	National trade shows	Regional trade shows and journals	
Branding and corporate image	Large, market leader	High quality and price	Individual service	
Core message	Get more for less	High quality and price	Customization	
Tagline	You can count on us	A name you can trust	We suit you	
Desired net take away	Value for money	Quality at a price	Service and customization	
Other				
Overall Product Assessment				

Differentiation and strengths	Great value for money; price competitive; large dealer network; extensive stock available	High quality, great return policy; durable product backed by a 5-year guarantee	Highly customized to each customer's needs; excellent customer service	
Major weaknesses	Product warranty is one year; Reputation for unreliability in some customers	Price--limited discounts; limited availability in some regions	Price--no discounts; unable to support national accounts due to West-coast-only presence	
Likely near-term strategic actions	Increase distribution	Increase R&D	Acquisitions	
Opportunities	Launch new Premium-plus version of the product that allows for greater margins	Capture more large customers who are looking for quality, durable widgets.	More and more customers are looking for customized solutions.	
Biggest threat	Fabrikam reduces the price on their premium widget, or starts discounting more heavily	Customers are more price sensitive, requiring more discounts or lower prices.	Unable to expand beyond the West coast, which limits appeal to larger West-coast based companies with East-coast operations.	
Other				

Contoso, Ltd.

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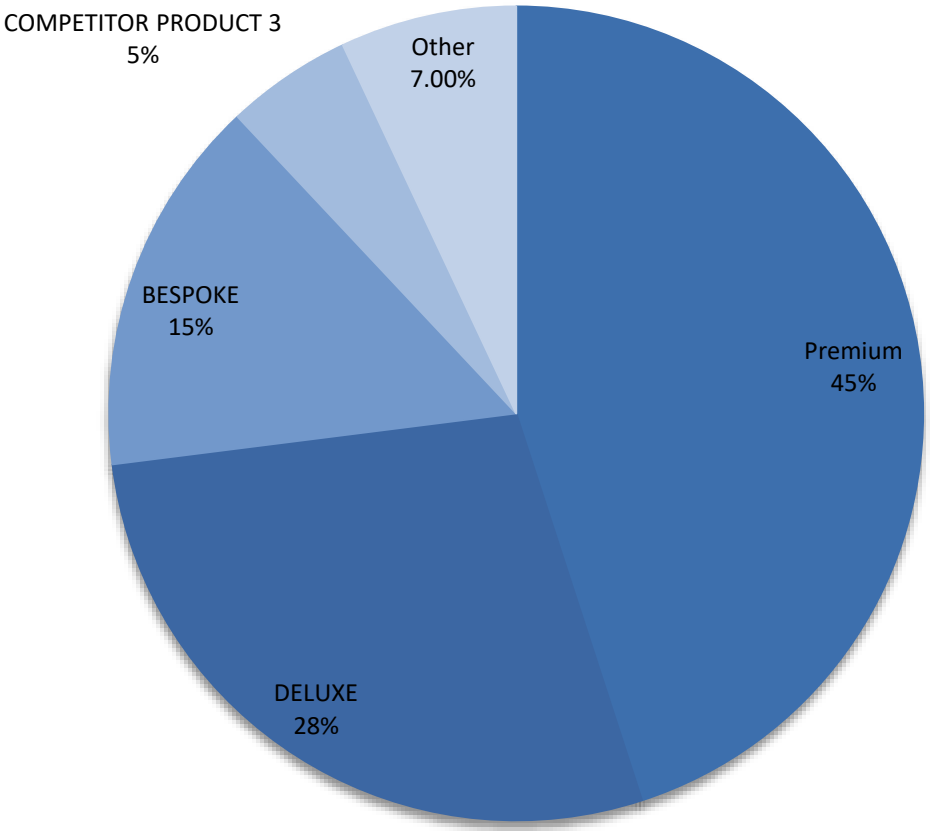
Strengths, Weaknesses, Opportunities, and Threats (SWOT)

Premium

Strengths	Weaknesses
Great value for money; price competitive; large dealer network; extensive stock available	Product warranty is one year; Reputation for unreliability in some customers

Opportunities	Threats
Launch new Premium-plus version of the product that allows for greater margins	Fabrikam reduces the price on their premium widget, or starts discounting more heavily

Market Share



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Strengths, Weaknesses, Opportunities, and Threats (SWOT)

DELUXE

FABRIKAM

Strengths	Weaknesses
High quality, great return policy; durable product backed by a 5-year guarantee	Price--limited discounts; limited availability in some regions
Opportunities	**Threats**
Capture more large customers who are looking for quality, durable widgets.	Customers are more price sensitive, requiring more discounts or lower prices.

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Strengths, Weaknesses, Opportunities, and Threats (SWOT)

BESPOKE

NORTHWIND TRADERS

Strengths	Weaknesses
Highly customized to each customer's needs; excellent customer service	Price--no discounts; unable to support national accounts due to West-coast-only presence

Opportunities	Threats
More and more customers are looking for customized solutions.	Unable to expand beyond the West coast, which limits appeal to larger West-coast based companies with East-coast operations.

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Strengths, Weaknesses, Opportunities, and Threats (SWOT)

COMPETITOR PRODUCT 3

COMPETITOR COMPANY 3

Strengths	Weaknesses
0	0

Opportunities	Threats
0	0

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Strengths, Weaknesses, Opportunities, and Threats (SWOT)

CONTOSO

Strengths	Weaknesses
Size, price	Quality

Opportunities	Threats
Increase distribution	Grow into West coast